Case No. 25-1050

UNITED STATES BANKRUPTCY APPELLATE PANEL OF THE NINTH CIRCUIT

CHRISTOPHER BEAVOR, ET AL.,
Appellants,

v.

RENO CITY CENTER OWNER, LLC, ET AL.,
Appellee.

On Appeal from the United States Bankruptcy Court for the District of Nevada, Case No. 24-50152-hlb, The Honorable Hilary L. Barnes, United States Bankruptcy Judge

APPELLANT'S REPLY BRIEF

Brian L. Davidoff (SBN 102654) (BDavidoff@ggfirm.com)
Cole F. Nicholas (SBN 354027) (CNicholas@ggfirm.com)
GREENBERG GLUSKER FIELDS CLAMAN & MACHTINGER LLP
2049 Century Park East, Suite 2600
Los Angeles, California 90067-4590
Facsimile: (310) 553-0687
Attorneys for Appellants CHRISTOPHER BEAVOR, ET AL
Telephone: (310) 553.3610

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I. STANDARD OF REVIEW

Appellants agree that the Court reviews Article III standing de novo. Appellants also agree with the standard of review set out by Appellee on the question of "whether an appellant is a 'person aggrieved.'" However, Appellants disagree with Appellees' assertion that the Court in this case should review the Bankruptcy Court's decision to dismiss a case under § 1112(b) for abuse of discretion (Opp. Br. at 2) (citing *In re Owens*, 552 F.3d 958, 960 (9th Cir. 2009)).

What the *Owens* court actually said is "[w]e review for abuse of discretion the bankruptcy court's decision under 11 U.S.C. § 1112(b) to dismiss a Chapter 11 case as a 'bad faith' filing." *Owens*, 552 F.3d, at 960 [emphasis added]. *Owens* itself cited to *Marsch v. Marsch (In re Marsch)*, 36 F.3d 825 (9th Cir. 1994) which in turn stated: "We review de novo whether the cause for dismissal of a Chapter 11 case under 11 U.S.C. § 1112(b) is within the contemplation of that section of the Code. We review for abuse of discretion the bankruptcy court's decision to dismiss a case as a 'bad faith' filing." *Marsch*, 36 F.3d, at 828 [citation modified].

Here the question of whether the dismissal violated *Czyzewski v. Jevic Holdings Corp.*, 137 S. Ct. 973 (2017), is not a factual question but a legal one, and akin to the *Marsch* court's de novo analysis of whether a dismissal "is within the contemplation of that section of the Code." *Id*; *see also In re Nordlicht*, 115 F.4th 90, 104 (2d Cir. 2024) ("We review de novo the legal questions whether the Settlement comported with Jevic and due process.").

II. ARGUMENT

A. Appellants Have Standing to Appeal the Dismissal Order

a) Appellants Have Article III Standing

To establish standing: (1) the plaintiff must have suffered an "injury in fact" - an invasion of a legally protected interest which is (a) concrete and particularized, and (b) actual or imminent; (2) there must be a causal connection between the injury and the conduct complained of; and (3) it must be "likely," rather than merely "speculative," that the injury will be redressed by a favorable decision. *Lujan v. Defenders of Wildlife*, 504 U.S. 555, 560–61 (1992); *See also Clifton Cap. Grp., LLC v. Sharp (In re E. Coast Foods, Inc.)*, 66 F.4th 1214, 1219 (9th Cir. 2023).

Appellees contend Appellants lack Article III standing because they did not suffer an "injury in fact" as a result of the Dismissal Order, asserting that Appellants "retain their prepetition rights against Debtor" and that, absent dismissal, "…Debtor would have been unable to make the Final Payment to Delphi, Delphi would have foreclosed on the Property – the Debtor's single asset – and the Appellant Claims would have been wiped out." (Opp. Br. at 20.) This argument fails.

Appellees' assertion that foreclosure by Delphi was inevitable is unsupported by the record. Appellants' Plan provided a viable path toward confirmation and completion of the RCC Project (56-57-ER-VII-2237–389.) Among other things, it offered Delphi on account of its Class 1 Secured Claim $52.5 million (consisting of the $47.5 million that Delphi agreed to in the settlement with the Debtor, plus the $5 million extension payment) (56-ER-VII-2256 (Lns. 18-25)) plus $7,500,000 on account of Delphi's Unsecured Class 5 Claim (*Id.* at 2257 (Lns. 22-28)) — overall $7.5 million more than the $52.5 million the Debtor agreed to pay under the Delphi Settlement (Appellants' Br. at

13.)[1] Much the same way as the Debtor was able to engage in discussions with Delphi for a settlement at $47.5 million, it was not unrealistic to believe that Appellant's Plan[2] had an equally viable chance of persuading Delphi to accept an additional $7.5 million more than the Second Amended Debtor's Plan offered. Appellants' Plan also provided for a resolution of the disputed management question and a resolution of the Beavor guarantees[3], both of which issues are now the subject of ongoing litigation. The Dismissal Order foreclosed the possibility of negotiation with Delphi and the potential for confirmation of the Appellants' Plan, constituting a concrete injury in fact.

Jevic, supports—rather than undermines—Appellants' standing. In *Jevic*, much like this case, Respondents argued:

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[1] Appellants' Plan offered Class 4 general unsecured creditors ninety-five percent (95%) of their claims on the later of the Effective Date or the date the claim became Allowed (56-ER-VII-2257 (Lns. 16-19).) By contrast, the Second Amended Debtor's Plan proposed quarterly $500,000 installments beginning January 1, 2026, with 4% annual interest, until Class 4 claims were paid in full (32-ER-IV-1613 (Lns. 26-28).)

[2] Terms not defined herein shall have the meaning defined in Appellants' Opening Brief.

[3] As noted in Appellant's Opening Brief, on June 16, 2022, Mr. Beavor guaranteed the loans of Delphi to the Debtor pursuant to that certain Completion Guaranty; an Interest, Carry and Balancing Event Guarantee; and a Guaranty of Recourse Obligations (Appellants' Br. at 5) (citing 24-ER-III-1710 (Lns. 7-9).)

> …that petitioners have not 'suffered an injury in fact,' or at least one 'likely to be redressed by a favorable judicial decision,' because petitioners would have gotten nothing even if the Bankruptcy Court had never approved the structured dismissal and will still get nothing if the structured dismissal is undone now… Thus, even if petitioners are right that the structured dismissal was impermissible, it cost them nothing. And a judicial decision in their favor will gain them nothing. No loss. No redress. *Id.*, at 452, 463 [citation modified].

The Court rejected that argument. *Id.*, at 452. *Jevic* emphasized that preclusion of litigating a potentially valuable claim itself is an injury in fact: "The lawsuit—like any lawsuit—might prove fruitless, but the mere possibility of failure does not eliminate the value of the claim or petitioners' injury in being unable to bring it." *Id.* at 463–64 [emphasis added]. The same reasoning applies here. Even if confirmation of Appellant's Plan was uncertain, the inability to prosecute a plausible plan offering materially better treatment to Delphi, better treatment to unsecured creditors, and contemplating resolution of the Beavor guarantee issues and management control issues of the Debtor, is itself a concrete injury. The Supreme Court in *Jevic* stated: "[f]or standing purposes, a loss of even a small amount of money is ordinarily an 'injury.'" *Id.* at 464 [citation modified].

Appellees contend that Appellants lack standing because, in their view, the Dismissal Order is not a priority-skipping structured dismissal barred by *Jevic*

(Opp. Br. at 20.) That argument is circular: whether the Dismissal Order violates *Jevic* is the central question on appeal, not a threshold barrier to standing.

Finally, these injuries are redressable. Remand of the Dismissal Order with instructions as to the treatment of Appellants' Proofs of Claim, would restore Appellants' opportunity to address the treatment of its claims in connection with dismissal of the bankruptcy case. Reversal would address not only the claims issues, but also the Beavor guarantee liability and the management control issues of the Debtor. Because remand or reversal would eliminate identified injuries and restore lost opportunities, the redressability prong of *Lujan* is satisfied.

Appellee's argument is also soundly rejected by the more recent decision of the United States Supreme Court in *Truck Insurance Exchange v. Kaiser Gypsum Company, Inc.*, 602 U.S. 268 (2024). In *Kaiser Gypsum*, the question was whether certain insurers had standing to appeal confirmation of a chapter 11 plan which the bankruptcy court had adjudged as "insurance neutral." The Court stated that "Section 1109(b) permits any"party in interest" to "appear and be heard on any issue" in a Chapter 11 proceeding." *Kaiser Gypsum*, 602 U.S., at 277.

b) Appellants Can Prove Prudential "Person Aggrieved" Standing

Appellees argue that Appellants cannot meet the "person aggrieved" standard because the Dismissal Order, in their view, gave the Debtor "a fighting chance at survival" and left Appellants with whatever state-law rights they held prepetition (Opp. Br. at 22.) That argument is unavailing.

As detailed above, the Dismissal Order eliminated Appellants' ability to confirm their own plan which offered materially better treatment for both Delphi and other general unsecured creditors, and foreclosed ongoing negotiations with Delphi that could have produced a superior outcome for the Appellants and the estate. (Appellants' Br. at 16). It also imposed substantial contingent liability on Appellant Christopher Beavor under his personal guarantees, liability that would have been extinguished under the Appellants' Plan. In addition, by implicitly adopting the Dismissal Motion, the order approved the use of Madison refinance proceeds to pay Delphi and other unsecured creditors to the exclusion of Appellants. "An order that diminishes one's property, increases one's burdens, or detrimentally affects one's rights has a direct and adverse pecuniary effect for bankruptcy standing purposes." *Matter of Point Ctr. Fin., Inc.*, 890 F.3d 1188,

1191 (9th Cir. 2018) (citing *In re P.R.T.C., Inc.*, 177 F.3d 774, 777 (9th Cir. 1999)). Each of these harms has a direct and adverse pecuniary impact and fall squarely within the Ninth Circuit's "person aggrieved" standard.

B. The Dismissal Order Violates Jevic.

a) Payments to Other Favored Unsecured Creditors

Appellees contend that the Dismissal Order "did not order distributions to any creditors" and therefore did not favor certain unsecured creditors over Appellants (Opp. Br. at 30.) This argument focuses on the implied semantics but not the actual content or context of the Dismissal Order. As detailed in Appellants' Opening Brief, the Dismissal Motion incorporated the Refinance Transaction and Exhibit B's schedule of targeted unsecured creditor payments, while omitting Appellants' claims entirely. By granting the Dismissal Motion in its entirety, the Bankruptcy Court necessarily approved the payment scheme described in the Dismissal Motion.

Appellees rely heavily on *In re Pourteymour*, No. 20-05522-CL11, 2023 Bankr. LEXIS 997 (9th Cir. BAP Apr. 12, 2023) (nonprecedential)[4], to suggest that the Dismissal Order here was equivalent to an unconditional "straight dismissal." (Opp. Br. at 27–28.) *Pourteymour* however only highlights the fallacy of Appellee's argument. In *Pourteymour* the Debtor proposed a structured dismissal that would either pay all arrears, administrative claims, and unsecured creditors other than the claims of the objecting creditor, alternatively, the debtor proposed to reserve the objecting creditor's pro-rata share pending resolution of a claim objection proceeding.

b) The Dismissal Order Favored Equity Over Creditors.

The Dismissal Order needs to be viewed in the context of the events leading up to it: the dueling plans of reorganization between Appellants and Appellee; the significant claims filed by Appellants none of which had been adjudicated by the bankruptcy court; and the settlement with Delphi which shifted liability to Appellants.

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[4] Although *Pourteymour* was designated as a nonprecedential memorandum under 9th Cir. BAP R. 8024-1(c)(2), Appellees urge this Panel to adopt its reasoning in their Opposition Brief (Opp. Br. at 9; FN 6.) Appellants agree that *Pourteymour*'s reasoning is instructive here.

Throughout the pendency of the Bankruptcy Case, Appellants argued that the Bankruptcy Case was being prosecuted for the benefit of the Gryphon Members, so as to ensure above all else that they did not forfeit their equity interests and incur the tax penalty that arises on an early termination of an opportunity zone project. (Appellants' Br. at 24.)

Appellees waive this argument off with the claim that there were no distributions to equity on account of the Dismissal Order. The fact that no funds were actually distributed to the Gryphon Members on account of their equity does not mean they did not receive value as a result of the Dismissal Order. Bankruptcy Code Section 349(b) provides in part:

> Unless the court, for cause, orders otherwise, a dismissal of a case — (3) revests the property of the estate in the entity in which such property was vested immediately before the commencement of the case under this title. [emphasis added]

As noted in Norton Bankr. L. & Prac. 3d Dict. of Bankr. Terms § V15, the terms "vest" and "revest" are not defined in the Code but are used in Bankruptcy Code § 349(b)(3) to provide what happens to property of the estate upon dismissal of the case other than under Code § 742. 11 U.S.C. § 349(b)(3). The term "vest" is

also used in Code § 1141(b) to provide that confirmation of a plan vests all property of the estate in the debtor. 11 U.S.C. § 1141(b). To "vest" means "'[t]o confer ownership (of property) on a person'; '[t]o invest (a person) with the full title to property'; or '[t]o give (a person) an immediate, fixed right of present or future enjoyment.'" VEST, Black's Law Dictionary (Bryan A. Garner ed., 10th ed. 2014).

The use of the same word "vest" to describe the effect of confirmation of a plan and the effect of dismissal, is significant. It reflects that, whether through plan confirmation or case dismissal, "vesting" confers ownership rights. In a Chapter 11 case, if creditors are not paid and equity holders are "vested" with their interests, the absolute priority rule is violated. *Bank of America Nat'l Trust & Sav. Ass'n v. 203 North LaSalle Street Partnership*, 526 U.S. 434, 441-42 (1999); *Norwest Bank Worthington v. Ahlers*, 485 U.S. 197, 202 (1988). Just as a Chapter 11 plan cannot lawfully vest equity holders with their interests under Bankruptcy Code § 1141(b) before creditors (in this case, Appellants) are paid, a dismissal cannot lawfully vest equity holders with their interests under Code § 349(b)(3) ahead of creditors (Appellants). Yet that is precisely what occurred here, and *Jevic* makes plain, a

dismissal—like any other outcome of a bankruptcy case—cannot be used as a vehicle to circumvent the Code's priority scheme. *Jevic*, 580 U.S., at 455.

III. CONCLUSION

The Dismissal Order, through its explicit granting of the Dismissal Motion, amounts to (i) a structured dismissal that (ii) selectively pays certain general unsecured creditors over others without their consent; and (iii) revests the equity interests without the payment of the senior claims of creditors. It thus violates the Bankruptcy Code's priority scheme and the Supreme Court's precedent in *Jevic*.

The Dismissal Order should therefore either be reversed, or the Bankruptcy Appellate Panel should remand the Dismissal Order to the Bankruptcy Court with instructions to modify the Dismissal Order to be consistent with *Jevic*.

/s/ Brian L. Davidoff
BRIAN L. DAVIDOFF
COLE F. NICHOLAS
GREENBERG GLUSKER FIELDS CLAMAN & MACHTINGER LLP
Attorneys for Appellants CHRISTOPHER BEAVOR, ET AL.
August 29, 2025

CERTIFICATE OF COMPLIANCE

This brief complies with the type-volume limitation of Fed. R. Bankr. P. 8015(a)(7) because it contains 2,324 words, excluding the parts of the brief exempted by Fed. R. Bankr. P. 8015(g).

This brief complies with the typeface and type-style requirements of Fed. R. Bankr. P. 8015(a)(5) and (6) because it has been prepared in a proportionally spaced typeface, 14-point Times New Roman, with plain roman type and italics for emphasis.

/s/ Brian L. Davidoff

CERTIFICATE OF SERVICE

I hereby certify that on August 29, 2025, I electronically filed the foregoing document with the Clerk of the Court for the Bankruptcy Appellate Panel for the Ninth Circuit by using the CM/ECF system.

I further certify that some of the parties of record to this appeal have not consented to electronic service. I have mailed the foregoing document by First-Class Mail, postage prepaid, or have dispatched it to a third party commercial carrier for delivery within 3 calendar days, to the following parties:

Norma Guariglia, HARRIS LAW PRACTICE LLC, 850 E. Patriot Blvd., Reno, NV 89511

/s/ Brian L. Davidoff